

Foreign currency in the statement of profit or loss under AASB 18

Whether foreign exchange (FX) differences may be presented as a single residual line item, and how a single FX item can be written into an APRA reporting standard and taxonomy

Prepared 13 July 2026 · Sources: authorised legislative texts (AASB 18, F2024L00708; AASB 121; AASB 1053; AASB 2020-2; ARS/ARF 330 and 730 suites) and FY2025 audited financial statements of CBA, ANZ, NAB, Westpac and Macquarie. Every quotation was machine-verified character-for-character against the source PDF and independently re-verified by an adversarial review (red team); provenance of every statement is tagged [EXTRACTED] (verbatim), [INFERRED] (logical consequence of extracts) or [RECOMMENDATION] (professional judgement). Full verbatim texts, bank evidence and the red-team record are in the accompanying Excel workbook.

1. Question and short answer

Question. May FX differences be presented as a single line item in the income statement, treated as a residual item — and can a “special purpose user” (a regulator such as APRA) obtain such an item?

Answer (a) — as a residual: no. AASB 18 leaves no room for a residual or balancing FX figure. Every item of income and expense must be classified into one of five categories (¶¶46–47); each FX difference is classified in the same category as the item that gave rise to it (B65); a single FX difference must not be split between categories (B67); and the only residual construct in the Standard is the operating *category* (¶52, B42) — a residual classification destination, never a residual line item. [INFERRED]

Answer (b) — as a single net line: conditionally yes. Net presentation of FX gains and losses is permitted only for amounts “included in the same category” (B28), and the mandatory subtotal structure (¶¶69–72) makes any cross-category net line a misstatement of operating profit. A single net FX line therefore complies only where all FX that is material sits in one category (immaterial cross-category amounts do not disturb this: ¶¶15, 19). For a bank this is an achievable outcome — see §3 — but it is the product of classification rules, never a default. [INFERRED]

Answer (c) — for APRA: yes, as an expressly defined regulatory data concept. APRA already collects a single, undissected “Foreign exchange” income item — ARF 330.2 item 5 (F2018L00367, in force, made under s 13 of the Financial Sector (Collection of Data) Act 2001). A reporting-standard or taxonomy element of that kind is lawful and workable, provided it is defined as a data concept and not described as AASB 18-compliant presentation (§5). [EXTRACTED + INFERRED]

2. What AASB 18 specifically requires for foreign currency — verbatim [EXTRACTED]

All quotations are from the authorised version of AASB 18 (registered legislative instrument F2024L00708, 20 June 2024). For-profit entities complying with AASB 18 also comply with IFRS 18 (AASB 18, Comparison with IFRS 18, “Tier 1”); paragraph numbers B65–B68 are identical in IFRS 18, with “AASB 121” in place of “IAS 21” — suitable for direct taxonomy cross-referencing.

B65. “To apply paragraph 47, an entity shall classify foreign exchange differences included in the statement of profit or loss applying AASB 121 in the same category as the income and expenses from the items that gave rise to the foreign exchange differences, unless doing so would involve undue cost or effort (see paragraph B68).”

B67 (operative sentence). “An entity shall not allocate between categories a foreign exchange difference arising on a liability from a transaction that does not involve only the raising of finance. ... However, an entity shall classify in the same category foreign exchange differences on similar liabilities.”

B68. “If applying the requirements in paragraphs B65 and B67 would involve undue cost or effort, an entity shall instead classify the affected foreign exchange differences in the operating category. An entity shall assess whether classifying foreign exchange differences as described in paragraphs B65 and B67 involves undue cost or effort for each item that gives rise to foreign exchange differences. The assessment is specific to the facts and circumstances related to each item. If the same facts and circumstances relate to a number of items, an entity could apply the same assessment to each of the items.”

¶52. “An entity shall classify in the operating category all income and expenses included in the statement of profit or loss that are not classified in (see paragraph B42): (a) the investing category; (b) the financing category; (c) the income taxes category; or (d) the discontinued operations category.”

¶67. “An entity shall classify in the income taxes category tax expense or tax income that is included in the statement of profit or loss applying AASB 112 Income Taxes, and any related foreign exchange differences (see paragraphs B65–B68).”

B28. “In addition, an entity presents on a net basis gains and losses arising from a group of similar transactions – for example, foreign exchange gains and losses or gains and losses arising on financial instruments held for trading that are included in the same category of the statement(s) of financial performance applying paragraphs 47–68. However, an entity shall disclose such gains and losses separately in the notes if doing so provides material information.”

B76. “The requirements in paragraphs B70–B75 specify only how to classify income and expenses into categories of the statement of profit or loss. They do not prescribe the line item (or line items) in which to include such income and expenses, nor do they override the requirements in other Australian Accounting Standards.”

C1. “An entity shall apply this Standard for annual reporting periods beginning on or after 1 January 2027. Earlier application is permitted. If an entity applies this Standard for an earlier period, it shall disclose that fact in the notes.”

Also load-bearing (quoted in full in the workbook): ¶¶41–44 (aggregation on shared characteristics; faithful labelling; offsetting); ¶47 (the five categories); ¶49 and ¶65 in full — including the ¶65(a)(ii) accounting-policy choice (operating or financing) for funding not related to customer financing; ¶75 (mandatory line items — no FX line is required); B25–B26 (“other” labels only where no more informative label exists); B66; B70–B76 (derivatives); B77 (a line item may recur in more than one category); AASB 121 ¶28, ¶30 and ¶3(a); AASB 121 ¶52(a) (note disclosure of exchange differences, excluding FVTPL instruments); AASB 112 ¶78 as amended by AASB 18 (tax-related FX classified under AASB 18 ¶67).

3. Application — why FX cannot be residual, and when one line is possible

3.1 FX follows its underlying item. B65 attaches each FX difference to the category of the item that generated it. FX embedded in derivative and FVTPL trading results is outside AASB 121 altogether (AASB 121 ¶3(a)) and is classified under B70–B76, which for a bank also defaults heavily to operating (B70, B72, B73, B75); B76 confirms those rules govern categories only, not line items. [INFERRED]

3.2 No plug is permitted. ¶¶46–47 classify everything; B67 prohibits allocating one FX difference between categories; B68 relief is conditional and fact-based (undue cost or effort, assessed item-by-item) — a classification into operating, not an election and not an unclassified residual. [INFERRED]

3.3 Operating is a systematic default destination for bank FX — via ¶152/B42 (residual category), ¶65(a)(i) (customer-financing liabilities), B66(b), B68, B69, B70/B72 and B73(b) — which is why a single net FX line in the operating category is realistically achievable for a bank. What can defeat it: a ¶65(a)(ii) election of the financing category for non-customer funding; FX of equity-accounted associates (mandatorily investing, ¶53(a), B64(c)); tax-related FX (¶67; AASB 112 ¶78 as amended) — in each case unless immaterial (¶19) or B68-relieved. **[INFERRED]**

3.4 Line-item level: no FX line is mandated (¶75); one net FX line per category is AASB 18-native (B28, B77); a separate FX line can become required in effect where FX information is material and dissimilar (¶¶41–42, B78); any label must faithfully represent the item (¶43, B25–B26). **[INFERRED]**

3.5 “Special purpose user” framing fails inside the financial statements: AASB 18 applies to general purpose financial statements (¶¶1–2). Locally incorporated ADIs preparing Corporations Act Pt 2M.3 reports cannot use special purpose statements (AASB 2020-2, legislative-requirement limb) and, being deemed publicly accountable (AASB 1053 B2(e)), must apply Tier 1 (AASB 1053 ¶11(a)). Insurers are not on the deemed list but ordinarily meet the fiduciary limb of the public-accountability definition (AASB 1053 App A). The true-and-fair departure mechanism is unavailable to Pt 2M.3 entities (AASB 108 ¶¶6E–6F, Aus6E.1(a)). The route to a single FX item is therefore regulatory, not accounting. **[INFERRED]**

4. What Australian banks actually do (FY2025 audited statements — prepared under AASB 101/121; AASB 18 not yet effective)

Bank (FY2025)	FX on face of income statement?	Where FX actually sits	AASB 18 first applies
CBA (Jun-25)	No	“Net other operating income” (Note 2.3): trading FX in “Net income from trading and non-trading financial instruments”; monetary-item FX in “Other” — unquantified	1 Jul 2027
ANZ (Sep-25)	No	Note 3: “Net foreign exchange earnings and other financial instruments income” \$2,346m — FX combined with other instrument income	1 Oct 2027
NAB (Sep-25)	No	Note 4 “Trading instruments” \$1,125m (trading-book FX inherent); report silent on where transactional monetary-item FX is presented	1 Oct 2027
Westpac (Sep-25)	No	Face line “Trading” \$717m (trading-book FX inherent); monetary-item FX “recognised in the income statement”, line not stated	FY ending 30 Sep 2028
Macquarie (Mar-25)	No	Face “Net trading income/(loss)”; note split “Interest rate, foreign exchange and credit products” \$591m	1 Apr 2027

No bank presents an FX-labelled line on the face, and none publishes a standalone AASB 121 ¶152(a) amount — unsurprising, because ¶152(a) itself excludes FX on FVTPL instruments (most bank trading FX) and is subject to the ¶19 materiality relief. All five reports state they are general purpose financial reports (ANZ: “general purpose (Tier 1)”) and disclose AASB 18 as issued but not yet effective, with impact assessments under way. **[EXTRACTED — full verbatim evidence with page references in the workbook]**

5. Drafting the APRA reporting standard and taxonomy element

5.1 Power and precedent. Reporting standards are legislative instruments under FSCODA s 13 (ARS 330.0, Objective). ARF 330.2 item 5 already collects “Foreign exchange” as one undissected income item. A single FX element is therefore drafting-orthodox — as a regulatory data concept. **[EXTRACTED + INFERRED]**

5.2 Mind the AAS default. APRA instructions default to Australian Accounting Standards “unless otherwise specifically stated” (ARF 730.0, mandatory form; ARF 330.2, recommendatory form). The default covers the definition, measurement and netting of items — from 2027 the netting limb imports AASB 18 B28’s same-category netting constraint. A cross-category net FX item must therefore be an express specification, for which APRA’s Major Bank Levy instruction (“This treatment is not in line with statutory accounting treatment”) is the in-force precedent. **[EXTRACTED + INFERRED]**

5.3 Define the element by enumeration, not by a single anchor. Anchoring to AASB 121 ¶28 alone under-captures (¶30 non-monetary FX and ¶48 reclassifications are also P&L FX), and anchoring to AASB 121 ¶152(a) inherits its FVTPL carve-out. FX in derivative/FVTPL results is outside AASB 121 (¶3(a)) and is not separately measured by any accounting standard — collecting it requires a prescribed attribution basis as an express departure. **[INFERRED]**

5.4 Recommended element definition: “the sum of (i) exchange differences recognised in profit or loss in accordance with AASB 121 (paragraphs 28 and 30); (ii) amounts reclassified from equity to profit or loss under AASB 121 paragraph 48 [state: included/excluded]; and (iii) [if collected] the foreign exchange component of gains or losses on financial instruments measured at fair value through profit or loss (including derivatives) under AASB 9, measured on [prescribed basis, e.g. the entity’s internal FX risk attribution] — this limb being an express departure from Australian Accounting Standards; in each case irrespective of the AASB 18 category in which the amounts are classified, and stating the treatment of any AASB 129 net-monetary-position gain or loss (AASB 18 B69).” Optionally add per-category attributes (operating / investing / financing / income taxes / discontinued operations) so the collection can be reconciled to AASB 18 B65–B68 classification — per-category FX lines are AASB 18-native (B77). Do not describe the single element as AASB 18-compliant income-statement presentation. **[RECOMMENDATION]**

6. Provenance and verification statement

EXTRACTED: 39 quotations (Q01–Q38, workbook sheet “AASB verbatim extracts”), each machine-verified character-for-character (whitespace-normalised; space-insensitive where the source PDF text layer contains mid-word space artefacts) against the authorised source, at the stated paragraph anchor. **INFERRED:** every proposition in §§1, 3 and 5.1–5.3 follows from the quoted provisions plus two stated facts (banks provide financing to customers as a main business activity — an entity-level assessment under AASB 18 B30–B41 that each bank will disclose on adoption under ¶151; and the FY2025 bank evidence). **INVENTED:** nothing, except §5.4, which is professional drafting judgement and is labelled **[RECOMMENDATION]**. An adversarial red-team review (two independent passes: quote fidelity; reasoning attack) was applied; all findings — including one fatal defect in an earlier draft of §5.4 and a misdescribed ARF 330.2 form structure — were corrected and are logged in the workbook sheet “Red team record”. Not legal or accounting advice; verify quotations against the authorised instruments before enactment.